cash in their claims, resulting in the failure of banks and firms. However, if official creditors hold the bulk of the poor country's debt, it is unlikely they will precipitate a crisis, so the country will not experience a meltdown no matter what its level of debt.

A second reason why a high level of debt might hurt is that it can create a debt overhang problem. For instance, when a country has high debt outstanding, private investors may be reluctant to invest for fear that the debt will eventually be repaid by levying extra taxes on corporations. Similarly, the government may hesitate to invest because the returns will largely go to service debt. Hence, high debt can impair investment and thus growth, and reducing debt may be necessary to jump-start growth. Compelling as these arguments may be in the case of emerging markets, I am not convinced they are important for poor developing countries. Investors in poor countries face other, more significant impediments to investment, such as a discouraging business climate and uneven regulation. A reduction in the level of government debt, without any additional resources or policy change, is unlikely to jump-start investment.

Some analysts have indeed found a negative correlation between debt and growth in poor countries, but there are other possible explanations. For instance, the causality could run from low growth to high debt, with countries that have weak growth (which may be due to poor policies) running larger deficits, and thus borrowing more. If this is the direction of causality, then debt forgiveness will not spur more growth, and I have yet to see compelling evidence against this possibility. This means that for poor countries borrowing primarily from official creditors, the extent of debt forgiveness matters only in that it increases net resources. Sometimes more additionality – at least in the short term – can be obtained with no debt relief, especially if forgiveness impairs donor aid budgets. And the